# WARRANTY ATLAS · California (CA)

Law last amended: 2019 (eff. 2020-01-01) · Next scheduled change: none found · Last verified: 2026-10-06 · Built 2026-10-19

Cites: Cal. Veh. Code § 3065; Cal. Veh. Code § 3065.2 (retail labor/parts rate); Cal. Veh. Code §§ 3065.4, 11705(a)(7), 11726

## Labor reimbursement by coverage type

| Coverage | Status | Paid hours | Pinpoint / date note |
|---|---|---|---|
| **Factory warranty** | **Required** | Factory time (reasonable/adequate standard where stated) | § 3065(a)(1) |
| **Mfr-backed service contract** | **Not addressed** | - | § 3065.25(b) |
| **CPO warranty** | **Required** | Factory time (reasonable/adequate standard where stated) | § 3065.25(b) |
| **Independent service contract** | **Not addressed** | - | § 3065.25(b) |

Hourly rate: Retail labor rate from the fewer of any 100 consecutive qualified ROs or all ROs in a 90-consecutive-day period (≤180 days old): total labor charges ÷ hours. Takes effect on the 30th day unless the franchisor contests it as materially inaccurate or fraudulent. ≤1x per calendar year. A voluntary signed agreement for other rates is allowed if it 'adequately and fairly compensates'.

## Audit fields

| Field | Rule | Pinpoint |
|---|---|---|
| **Claim decision** | 30 days; late claim deemed approved: Yes. Written notice stating specific grounds. Disapproval is allowed only if the claim is false or fraudulent, the repairs were not properly made, the repairs were inappropriate because of the franchisee's improper act or omission, or there was material noncomplia… | § 3065(d)(1); see (d)(2)-(6) |
| **Payment** | 30 days after approval. Dealer filing deadline: Silent. A reasonable appeal process giving at least 30 days after the written disapproval to rebut, and at least 30 days to cure document… | |
| **Chargebacks** | 9 months; fraud: For a false claim submitted with intent to defraud, a longer audit an…. Audits on a reasonable basis, never punitive, retaliatory or discriminatory, and no more than one random audit per 9 months. Chargeback grounds are the same as the denial grounds. No extrapolation unless the sample is random and statistically valid. Written n… | § 3065(e)(1); see (e)(2)-(6), (f) |
| **Rate resubmission** | no more frequently than once per calendar year. Sample: 100 ROs or 90 days (fewer of the two samples); ROs <= 180 days old. Excluded: Discounted / promotional, Routine maintenance, Prep / reconditioning, Accessories, Collision / body / glass, Insurance-paid, State inspections, Goodwill, Government, Service-contract paid, Tires, Alignments, Internal, Other (see text). | § 3065.2(a)(2); see (a)(1), (b), (c), (j) |
| **Mfr response** | 30 days; no response = approved: Yes. Challenge: Material accuracy only. The notice must be limited to an assertion that the rate is 'materially inaccurate or fraudulent', and the franchisor 'shall not deny' the submission. Forum: New Motor Vehicle Board protest (§ 3065.4), with the burden on the fr…. | § 3065.2(d)(1); see (d)(3)-(5), (e); § 3065.4(a) |
| **Penalties** | Board protests (§§ 3065(d)(6), (e)(6), 3065.4). Superior-court action to enforce a Board rate determination, with injunctive relief and actual reasonable expenses (§ 3065.4(c)). Damages, reasonable attorney fees and injunctive relief for pecuniary loss from a licensee's willful failure to comply with Art. 1, Ch. 4, Div. 5 or a Board de… | Cal. Veh. Code §§ 3065.4, 11705(a)(7), 11726 |
| **Audit procedures** | Audit climate score 75/100 (Very high restrictiveness; chargeback limits 59/75 + process and oversight 16/25; measures how strict the law is, not how likely a dispute is; weights in draft). Advance notice: yes; selection basis disclosed: yes; frequency cap: No more than one random audit per 9-month period….; written reasons: yes; response period: 30 days; internal appeal: yes; held pending appeal: yes; extrapolation: restricted; clerical-error protection: yes; rate validation: broader or no procedure. | |

## Statute quotes

***Claims*** *(§ 3065(d)(1); see (d)(2)-(6)): "within 30 days from receipt by the franchisor shall be deemed approved on the 30th day. All claims made by franchisees under this section and Section 3064 for labor and parts shall be paid within 30 days after approval."*

***Chargebacks*** *(§ 3065(e)(1); see (e)(2)-(6), (f)): "Audits of franchisee warranty records may be conducted by the franchisor on a reasonable basis for a period of nine months after a claim is paid or credit issued."*

***Rate*** *(§ 3065.2(a)(2); see (a)(1), (b), (c), (j)): "The franchisee shall calculate its retail labor rate by determining the total charges for labor from the qualified repair orders submitted and dividing that amount by the total number of hours that generated those charges."*

***Factory time*** *(§ 3065(a)(1)): "The franchisor shall use time allowances for the diagnosis and performance of work and service that are reasonable and adequate for a qualified technician to perform the work or services."*

## Notes

'Warranty' includes new-vehicle warranty, CPO warranty, TSB and customer-service-campaign repairs during the warranty period, and federal recalls (§ 3065.25(b)). Rates other than retail are allowed only by a voluntary signed agreement that adequately and fairly compensates (§ 3065(b)). Time-allowance change requests may not be unreasonably denied (§ 3065(a)(1)). Retaliation for seeking retail rates is barred (§ 3065.2(i)). Failure to approve or pay on time for reasons beyond the franchisor's reasonable control is not a violation (§ 3065(d)(5)). Franchisors must file warranty reimbursement schedules with the New Motor Vehicle Board within 30 days after license issuance or renewal, and any change on or before its effective date (13 CCR § 586(b)-(c)).

Source: official · https://leginfo.legislature.ca.gov/faces/codes_displaySection.xhtml?lawCode=VEH&sectionNum=3065 · Confidence: high. Public-source research summary for audit planning, not legal advice. No company-approved rates. Confirm against the cited statute; escalate disputes to Legal.